

HALVERD INSTRUMENTS, INC.

Quarterly Report — Second Quarter, Fiscal Year 2026

Quarter ended 30 April 2026. Reported 21 May 2026.

SUMMARY

Revenue for the second quarter was \$31.2 million, an increase of 8 percent against the \$28.9 million reported in the second quarter of fiscal 2025. Gross margin was 58.4 percent, down 110 basis points year over year, reflecting expedited freight on PT-40 die shipments and the initial cost of the HX-9 firmware remediation programme. Operating income was \$4.1 million. Net income was \$3.3 million, or \$0.19 per diluted share.

We are reaffirming full-year fiscal 2026 revenue guidance of \$118 million to \$124 million and full-year gross margin guidance of 58 to 60 percent.

Two matters dominate this report and are discussed in full below: the HX-9 depth drift defect, for which we have recorded a warranty accrual this quarter, and the single-source position on the PT-40 pressure transducer die.

Halverd Instruments is a fictional company. This document was written to demonstrate retrieval software and describes no real

SEGMENT RESULTS

Subsea Sensing revenue was \$19.4 million, up 11 percent year over year, carried by the HX-9 and HX-11 depth and conductivity instruments and by a full quarter of the Vessel Integration Kit introduced in the first quarter.

Industrial Calibration revenue was \$11.8 million, up 3 percent year over year. Growth here remains slower than the segment plan we set in November, and we now expect Industrial Calibration to finish the year at the low end of its range.

Backlog at quarter end was \$46.7 million, of which \$29.3 million is scheduled to ship in fiscal 2026.

CUSTOMER CONCENTRATION

Trondsen Offshore AS accounted for 41 percent of second-quarter revenue, up from 34 percent in the second quarter of fiscal 2025. Trondsen operates four survey vessels and has standardised on the HX-9 for depth reference. No other customer accounted for more than 9 percent of revenue in the quarter.

We regard this concentration as our single largest commercial risk. A deferral or cancellation by Trondsen would have a material effect on quarterly revenue and on the full-year range given above.

HX-9 DEPTH DRIFT — DESCRIPTION AND PROVISION

In March 2026 a customer reported that HX-9 units held at depth for extended periods returned depth values that drifted upward over time. Our engineering review confirmed the behaviour and traced it to an accumulator overflow in the pressure-compensation routine of firmware releases 4.2.0 through 4.4.1. Affected units drift by up to 1.8 metres after approximately 900 hours of continuous submersion. The drift is gradual and does not trigger the instrument's own fault flag, which is why it was not caught in qualification.

A corrected firmware release, 4.4.2, entered controlled release on 6 May 2026. Units in the field can be updated over the vessel link; units in inventory are being updated before shipment.

We estimate the affected population at 3,100 units, being all HX-9 instruments shipped with firmware 4.2.0 or later between June 2024 and April 2026. We have recorded a warranty accrual of \$2.4 million in the second quarter, covering firmware deployment, field engineering time and the replacement of units that cannot be updated remotely.

Management believes this accrual reflects our current best estimate and is sufficient to cover the affected population. No recall is planned.

SUPPLY — PT-40 PRESSURE TRANSDUCER DIE

Every instrument in the Subsea Sensing segment depends on the PT-40 pressure transducer die. The PT-40 is supplied to us by a single vendor, Tessin Micro Fabrication Ltd, under a supply agreement that expires on 31 January 2027. Tessin manufactures the die on a legacy 150 millimetre line at one site. We hold approximately eleven weeks of PT-40 inventory.

An interruption at that site, or a failure to renew the agreement on acceptable terms, would stop production of every Subsea Sensing product within one quarter. We consider this the most serious operational risk carried by the business.

We have identified a second source, Kaldbakur Semiconductor hf, and received first samples in February 2026. Electrical characterisation of those samples is complete and within specification. Qualification is not finished: the samples have not yet passed the 1,000-hour pressure-cycling test or the salt-fog corrosion test, and we have not yet run a production lot. Kaldbakur is therefore identified and sampled but not qualified, and no Kaldbakur die is in any shipped product.

We are targeting completion of qualification during the third quarter of fiscal 2026. Until it completes, the single-source exposure described above is unmitigated.

LIQUIDITY, CAPITAL AND OUTLOOK

Cash and cash equivalents were \$44.6 million at 30 April 2026, against \$41.9 million at the end of the first quarter. The company carries no debt. Capital expenditure in the quarter was \$1.8 million, principally the pressure-cycling chamber installed at the Aberdeen test facility.

Operating cash flow was \$5.2 million. Days sales outstanding were 61, unchanged from the prior quarter.

FULL-YEAR GUIDANCE

We are reaffirming revenue guidance of \$118 million to \$124 million for fiscal 2026. The guidance assumes that HX-9 firmware remediation is completed within the \$2.4 million accrued, that Trondsen Offshore takes delivery on the schedule in the current backlog, and that PT-40 supply is uninterrupted.

The board has not authorised a dividend or a repurchase programme for fiscal 2026.

This report contains forward-looking statements about a company that does not exist.